Public Procurement Act, 2063

Including Amendments up to 2083

Date of Authentication	1st Amendment	2nd Amendment
14th Jan 2007 (30th Poush 2063)	14th July 2016 (30th Asar 2073)	30th April 2026 (17th Baisakh 2083)

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In this PPT…

- Introduction of Public Procurement Act & Key Amendments
- List of Sections with Chapters
- Conversion of Ordinance to Law
- Section Wise Coverage along with amendments

Public Procurement Act, 2063

Public Procurement Act, 2063 was enacted to ensure that public procurement by Public Entity is conducted in a competitive, transparent, fair, and accountable manner.

The Act provides a uniform legal framework for procurement of goods, works, consultancy services, and other services using public funds.

Key Features

- E-bidding and competitive bidding provisions
- Qualification and evaluation procedures
- Bid security and performance security
- Procurement planning system
- Complaint and review mechanism
- Blacklisting provisions
- Contract management framework

Key Amendments - Public Procurement Act, 2063

- **Government E-Marketplace (GeM) & E-GP Supremacy**

Establishment of a centralized digital marketplace for direct purchases and the removal of traditional newspaper notice requirements for e-GP-based tenders.

- **Accelerated Timelines for Efficiency**

Significant reduction in notice periods (e.g., National Bidding from 30 to 21 days, Sealed Quotations from 7 to 3 days) to speed up project initiation.

- **Performance-Linked Accountability**

Introduction of mandatory disciplinary action for officials causing administrative delays, balanced by financial incentives for teams that deliver quality work ahead of schedule.

- **Technical Safeguards (Unbalanced Bids & EPC)**

Mandatory Rate Analysis to disqualify "suicide bidders" and new PPMO-issued guidelines for complex EPC and Turnkey projects to ensure structural integrity.

- **Federal Empowerment & Local Preference**

Mandatory devolution of procurement authority to Provincial and Local officials and a strictly enforced Domestic Preference rule to support Nepalese industries.

Red highlighted text with red star indicates amendments as per Second Amendment brought through ordinance dated 17th Baisakh 2083.

Chapters & Sections

Chapter No	Chapter Name	Section No	Section Name
1	Preliminary	1	Short title and commencement
		2	Definitions
		3	Procurement to be made in accordance with this Act
2	Provisions Relating to Responsibility for Procurement and Procurement Methods	4	Description of goods, construction works and services to be prepared
		5	Cost estimate to be prepared
		5A	Approval
		6	Procurement plan to be prepared
		6A	Standing list to be prepared
		7	Responsibility for procurement activity
		8	Procurement method to be selected
		9	Procurement to be made by invitation to open bid
		10	Qualification of bidder or proponent
3	Provisions Relating to Bidding	11	Processes and stages of bidding
		12	Prequalification to be determined
		13	Bidding documents to be prepared
		14	Invitation to bids
		15	International bidding
		16	Clarification as to unclear matter on bidding or prequalification documents

Chapters & Sections

Chapter No	Chapter Name	Section No	Section Name
3	Provisions Relating to Bidding	17	Deadline for submission of bids or prequalification proposals
		18	Method of submission of bids
		19	Withdrawal and modification of bid
		20	Validity period of bids
		21	Bid Security
		22	Opening of Bids
		23	Examination of Bids
		24	Bids not to be entertained
		25	Evaluation of bids
		26	Rejection of bids or cancellation of procurement proceeding
		27	Acceptance of bid and procurement contract
		28	Two Stage Bidding
4	Provisions Relating to Consultancy Services	29	Consultancy services may be procured
		30	Short-list to be prepared by soliciting expression of interest openly
		31	Soliciting proposals
		32	Opening of proposals
		33	Evaluation of technical proposals

Chapters & Sections

Chapter No	Chapter Name	Section No	Section Name
4	Provisions Relating to Consultancy Services	34	Opening of financial proposals
		35	Evaluation of financial proposals
		36	Rejection of proposal and cancellation of procurement proceeding
		37	Negotiations with the proponent
		38	Procurement contract to be concluded
		39	Other provisions relating to consultancy services
5	Other Provisions Relating to Procurement	40	Provisions relating to sealed quotations
		41	Provisions relating to direct procurement
		42	Special provision relating to ration procurement
		43	Provisions relating to renting house and land and obtaining service on contract
		44	Execution of work through users' committee or beneficiary community
		45	Work may be, or cause to be, executed by force account
		46	Work may be caused to be executed by non-governmental organizations
6	Provisions Relating to Review of Procurement Proceeding or Decision	47	Application may be made to the chief of public entity
		48	Review committee
		49	Application may be made before the review committee
		50	Method of review
		51	Procurement proceeding to be withheld

Chapters & Sections

Chapter No	Chapter Name	Section No	Section Name
7	Provisions Relating to Procurement Contract	52	Procurement contract and terms and conditions thereof
		52A	Provision relating to advance
		53	Amendment to procurement contract
		54	Variation order
		55	Price adjustment in procurement contract
		56	Provisions relating to extension of the term of contract
		57	Payment of bills or invoices
		58	Mechanism for settlement of disputes
		59	Termination of procurement contract and remedies
		60	Public notice of procurement contract
8	Provisions Relating to Conduct	61	Conduct of officials who are involved in public procurement proceeding
		61A	Departmental action to be taken
		62	Conduct of bidders or proponents
		63	Blacklisting and release from blacklisting
9	Provisions Relating to Monitoring of Procurement Activities	64	Public Procurement Monitoring Office
		65	Functions, duties and powers of Public Procurement Monitoring Office

Chapters & Sections

Chapter No	Chapter Name	Section No	Section Name
10	Miscellaneous	66	Provisions relating to procurement to be made in special circumstance
		67	Procurement process under this Act not to be followed
		67A	Not to hinder procurement proceeding
		68	Mode of communication
		69	Procurement transaction may be carried out through means of electronic communication
		70	Legal documents to be put on website
		71	Evaluation committee to be formed
		72	Records of procurement proceeding
		73	Delegation of power
		74	Power to frame rules
		74A	Power to make technical guidelines, procedures and directives
		74B	Power to remove difficulties
		75	Repeal and amendment
		76	Saving

अध्यादेश कानून कसरी बन्छ ?

(नेपालको प्रक्रिया)



1 **मन्त्रीपरिषद्को सिफारिश**
(Recommendation by Council of Ministers)
कुनै तत्काल आवस्थक विषयमा कानून बनाउन आवस्थक भएकोमा मन्त्रीपरिषदले राष्ट्रपतिलाई अध्यादेश जारी गर्न सिफारिस गर्दछ ।

↓

2 **राष्ट्रपतिबाट अध्यादेश जारी**
(Promulgation by President)
राष्ट्रपतिले नेपालको संविधानको धारा १९४ बमोजिम अध्यादेश जारी गर्नुहुन्छ ।

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3 **राजपत्रमा प्रकाशन**
(Publication in Nepal Gazette)
अध्यादेश नेपाल राजपत्रमा प्रकाशन भएपछि तुरुन्त लागु हुन्छ ।

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4 **अध्यादेशको प्रभाव**
(Effect of Ordinance)
अध्यादेश कानूनसरह लागु हुन्छ र संसदले कानून बनाइदासम्म कार्यान्वयनमा रहन्छ (अधिकतम ६ महिना) ।

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5 **संसद बैठकमा छ कि छैन ?**
(Is Parliament in Session?)

हाँ (Yes)

5A **संसदमा पेश**
(Laid before Parliament)
अध्यादेश जारी भएको तत्कालै संसदमा पेश गर्नुपर्दछ ।

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5B **समर्थनमा पारित भए**
(Approved by Parliament)
संसदले साधारण विधेयक जस्तै पारित गछि भने अध्यादेश कानून बनेको मानिन्छ ।

↓

5C **कानूनको रूपमा कायम**
(Becomes Law)
राष्ट्रपतिबाट प्रमाणीकरण भएर कानूनको रूपमा कायम हुन्छ ।

छैन (No)

5D **संसदको अधिवेशन शुरू भएपछि**
(When Parliament Session Starts)
अध्यादेश जारी भएको मिलिले ६० दिनभित्र संसदमा पेश गर्नुपार्छ ।

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5E **पारित नभए वा अस्वीकृत भए**
(Not Approved / Disapproved)
संसदले पारित नगरेमा वा अस्वीकृत गरेमा अध्यादेश तुरुन्त खारेज हुन्छ ।

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5F **स्वत: खारेज**
(Automatically Lapses)
अध्यादेश जारी भएको मिलिले ६ महिना पुरा भएमा स्वत: खारेज हुन्छ, चाहे संसदमा पेश भएको भए पनि पारित नभएमा ।

मुख्य संवैधानिक आधार

नेपालको संविधान, २०७२ को धारा १९४

- अध्यादेश असाधारण र तत्काल आवस्थक अवस्थामा मात्र जारी गर्न सकिन्छ ।
- अध्यादेशले संविधानको मूल संरचना परिवर्तन गर्न सक्दैन ।
- कर लगाउने, खर्च गर्ने वा संवैधानिक व्यवस्थामा प्रतिकूल असर पर्ने विषयमा अध्यादेश ल्याउन सकिंदैन ।
- संसदको नियन्त्रण र अनुमोदन अध्यादेशलाई कानून बनाउने अनिवार्य शर्त हो ।

ⓘ नोट: यो प्रवाह चित्र (Flowchart) सामान्य जानकारीको लागि हो । विस्तृत विधिक व्याख्याको लागि सम्बन्धित कानूनी प्रावधान अध्ययन गर्नुहोस् ।

Chapter-1
Preliminary

Key definitions

Section 2(b) Public Entity

- A **constitutional organ or body, court, Ministry, secretariat, commission, department of the Government of Nepal or Provincial Government or any other governmental entity or office** thereunder
- A corporation, company, bank or board which is **owned or controlled wholly or in majority** by the Government of Nepal or Provincial Government or commission, corporation, authority, undertaking, enterprise, board, center, council and other corporate body of similar nature which is established at the public level or formed by the Government of Nepal or Provincial Government, in accordance with the prevailing law,
- A **university, college, research center and other academic or educational institute** of similar nature which is operated by the Government of Nepal or Provincial Government or receives grants wholly or in majority from the Government of Nepal,
- **Local Level**,
- A **development board** which is formed under the Development Board Act, 2013 (1956),
- A **body which is operated through a loan or grant** by the Government of Nepal or Provincial Government, and
- Such other body **as specified** to be a public entity by the Government of Nepal or Provincial Government, by a notification in the Nepal Gazette.

Chapter-2 Provisions Relating to Responsibility for Procurement and Procurement Methods

Chapter – 2 Provisions Relating to Responsibility for Procurement and Procurement Methods

❖ Section 4 Description of goods, construction works and services to be prepared

- **Mandatory Preparation:** Before starting any procurement, public bodies must prepare detailed specifications, plans, designs, or drawings.
- **Objective Criteria:** To be based on objective technical & quality characteristics, not subjective preferences.
- **Brand Neutrality:** You **cannot** specify a particular brand, trademark, or patent. *Exception: If no other description is possible, you may name a brand but **must** add the phrase **"or equivalent".***
- **Fair Competition:** Requirements (like labeling or testing) must be relevant to the function and cannot be used to unfairly limit competition or block qualified bidders.

❖ Section 5 Cost estimate to be prepared

Cost estimate to be prepared for all procurement ***except procurement up to 1 Lakh excl. construction contracts.*** Hence, for construction contracts, no exception.

❖ Section 5A Approval

- Approval of description u/s 4 & Cost Estimate u/s 5 by public entity.
- Once approved, major changes are generally not allowed unless there is a valid prescribed special reason.
- If an amended design or cost estimate:
  - ✓ changes by >25% of the original estimate, or
  - ✓ affects procurement due to defective design or abnormal estimation,
- Then, the following persons may face legal action under prevailing law:
  - ✓ person who prepared the design/cost estimate,
  - ✓ examiner,
  - ✓ approving authority, and
  - ✓ involved consultant.

Chapter – 2 Provisions Relating to Responsibility for Procurement and Procurement Methods

❖ Section 6 Procurement plan to be prepared

Master procurement plan and yearly procurement plan

❖ Section 6A Standing list to be prepared

- Every public entity must prepare separate standing lists of:
  - ✓ suppliers,
  - ✓ construction entrepreneurs,
  - ✓ consultants,
  - ✓ NGOs, and
  - ✓ service providers

based on the nature of procurement and prescribed qualifications.

- Any person or organization wishing to be included in the list must apply with required documents to the concerned public entity.
- Public entity is responsible for maintaining and updating the standing list.
- Listed entities must renew/update their application annually.

❖ Section 7 Responsibility for procurement activity

- Chief of the concerned public entity
- Procurement must be handled by trained and qualified personnel as determined by PPMO.
- Public entities shall establish a procurement unit/division based on workload and nature of procurement activity and designate procurement official.

Chapter – 2 Provisions Relating to Responsibility for Procurement and Procurement Methods

❖ Section 7 Responsibility for procurement activity

- Functions of Procurement Unit
  - ✓ prepare procurement plans,
  - ✓ prepare standard-compliant bidding and contract documents,
  - ✓ publish procurement notices,
  - ✓ issue bidding and proposal documents,
  - ✓ receive and securely maintain bids/proposals,
  - ✓ coordinate bid evaluation,
  - ✓ issue acceptance notices,
  - ✓ obtain and maintain performance guarantees,
  - ✓ inspect quality of procured goods, works, and services,
  - ✓ provide information to PPMO,
  - ✓ perform other prescribed functions.
- The procurement unit performs its functions with approval of chief of the public entity.
- Chief of the public entity must regularly supervise, monitor, and maintain quality control to ensure procurement contracts are completed within the prescribed time.

Chapter – 2 Provisions Relating to Responsibility for Procurement and Procurement Methods

❖ Section 8 Procurement method to be selected

Procurement of Goods, Works and Other Services	Procurement of consultancy services
Inviting international open bidding (Section 15)	By requesting competitive proposals
Inviting national open bidding	Through direct negotiations
Inviting sealed quotations (Section 40)	
Direct procurement (Section 41)	
Through participation of users' committee or beneficiary group (Section 44)	
Through a forced account (Section 45) (Use of in-house resources, generally for Repair & maintenance)	
Lump sum piece rate method *(percentage less/ more from Quantity & figure of cost estimate)*	
Method of procurement from the producer or authorized seller at the specified rate (catalogue shopping) *(from producers or authorized sellers at pre-published prices as listed in the company's website or brochure)*	To narrow/ limit competitors, contracts should not be made large or split into small contracts.
Method of procurement where limited bidders participate (limited tendering)	
Method of procurement whereby the new one is procured by returning the old one (buy-back method)	
Reverse auction *(electronic bidding process where bidders continuously lower prices competitively)*	

Chapter – 2 Provisions Relating to Responsibility for Procurement and Procurement Methods

❖ Section 9 Procurement to be made by invitation to open bid

To the extent possible, open bid to be followed

❖ Section 10 Qualification of bidder or proponent

- **Standard Compliance:** Bidders must meet all criteria specified in the bidding or pre-qualification documents.
- **Key Evaluation Criteria:** Qualifications are based on:
  - ✓ **Capacity**: Professional, technical, legal, bid capacity and financial standing.
  - ✓ **Resources**: Availability of equipment, spare parts, and after-sales service.
  - ✓ **History:** Past performance and absence of professional offenses.
- If two or more firms/companies merge before bid submission, their previous qualifications may be counted in qualification evaluation.
- Qualification determination may also be based on: technical proposal, and financial proposal, as prescribed for procurement.
- **Non-Discrimination**: Criteria must not be designed to unfairly favor or exclude specific "classes" of entrepreneurs.
- **Uniform Application**: Evaluations must strictly follow the pre-disclosed criteria and apply equally to all participants.
- **Threshold Exception**: No formal qualification is required for works **< 2 Crore**, unless specifically deemed necessary by public entity.
- **Integrity Clause**: Factually false or materially incomplete statements lead to disqualification, though minor errors may be corrected upon request.

Chapter-3 Provisions Relating to Bidding

Chapter – 3 Provisions Relating to Bidding

❖ Section 11 Processes and stages of bidding

- Procurement through bidding may be conducted:
  - ✓ with prequalification, or
  - ✓ without prequalification.

- Open bidding may be carried out:
  - ✓ in a single stage, or
  - ✓ in two stages.

- In special circumstances under Section 28(1) (Technical specs not feasible to define/ Complex Nature), bidding may specifically be conducted through a two-stage process.

- For procurement **where bidder qualification is not required** in open bidding:
  - ✓ Goods/other services, or
  - ✓ Construction work below prescribed limit,

    procurement shall follow **Single Envelope System** (technical + financial proposal in same envelope).

- For procurement **where bidder qualification is required**:
  - ✓ Goods/other services, or
  - ✓ Construction work above prescribed limit,

    procurement shall follow **Two Envelope System**(technical and financial proposals in separate envelopes)

Chapter – 3 Provisions Relating to Bidding

❖ Section 12 Prequalification to be determined

- For large, complex, or high-value procurement, public entities must conduct prequalification before inviting bids.
- Public entities may also use prequalification for other procurements if considered necessary.
- Prequalification documents must clearly state:
  - ✓ qualification criteria,
  - ✓ proposal preparation method, and
  - ✓ submission procedure.
- The public entity must provide prequalification documents to interested applicants.
- Qualified applicants are selected based on prescribed criteria, and the selected list must be publicly published.
- Rejected applicants may request reasons for rejection within 30 days, and the public entity must provide the information.

Chapter – 3 Provisions Relating to Bidding

- **Section 13 Bidding Documents to be prepared**
  - To be prepared before invitation of bids
  - Bidding documents must include:
    - ✓ nature, specifications, and timeline of procurement,
    - ✓ bidder qualification criteria,
    - ✓ site visit and pre-bid meeting details,
    - ✓ bid submission and opening procedures,
    - ✓ price components and currency details,
    - ✓ bid evaluation and selection criteria,
    - ✓ preference provisions for domestic goods/local contractors,
    - ✓ lot/package and alternative proposal provisions,
    - ✓ bid validity and security requirements,
    - ✓ performance guarantee provisions,
    - ✓ contract terms and implementation conditions,
    - ✓ provisions relating to conflict of interest, fraud, and corruption,
    - ✓ review/appeal mechanism for bidders,
    - ✓ technical and financial proposal submission requirements,
    - ✓ **Single-Envelope System:** When technical capacity is not being separately evaluated, both technical and financial documents must be submitted together in one sealed envelope.
    - ✓ **Two-Envelope System:** When technical capacity is being evaluated, the technical and financial proposals must be in separate sealed envelopes, both enclosed within a third outer sealed envelope.
    - ✓ **Joint Venture (JV) Accountability:**
      - ❑ All partners in a JV carry joint and several liability for the completion of the project.
      - ❑ Responsibility cannot be transferred to a single member or a third party.
    - ✓ **Evaluation Weightage:** If a scoring system is used for qualification, specific marks (weightage) for technical and financial proposals must be clearly pre-determined.
    - ✓ other matters prescribed by PPMO

Chapter – 3 Provisions Relating to Bidding

❖ Section 14 Invitation to bids

- Invitation to bids or prequalification proposals must be published in a **national daily newspaper** and, for international bidding, may also be published internationally.
- For procurements conducted via the Electronic Government Procurement (e-GP) system, invitations for bids or pre-qualifications must be published only through the e-GP system.
- Notices must also be placed on the **website of public entity or PPMO**.
- Notice Must Include:
  - ✓ name and address of public entity,
  - ✓ procurement details and timeline,
  - ✓ bid security and validity requirements,
  - ✓ method, place, and deadline for submission,
  - ✓ date, time, and place of bid opening,
  - ✓ other prescribed information.
- **Minimum Notice Period**
  - ~~✓ **National** bidding: at least **30 days**~~
  - ~~✓ **International** bidding: at least **45 days**~~
- **Re-Invitation**: If no valid bids are received:
  - ✓ Re-invitation may be made with shorter periods, and
  - ✓ in urgent situations, procurement may proceed through alternative methods with approval.
- Preference to be given to domestic products and the same is to be mentioned in invitation.
- Domestic preference may be given to Nepalese bidders.
- Foreign bidders must disclose local agents.
- Preference may be given to foreign bidders in joint venture with domestic contractors.
- In special circumstances (emergencies), GON can invite bids with a shortened notice period of only 7 days.

Minimum Notice Period		
Type of Bidding	**Earlier**	**New**
National	30 days	21 days
International	45 days	30 days
Re-invitation (1st Time)	15 days	7 days
Re-invitation (Subsequent Time)	21 days	15 days
Sealed Quotations	7 Days	3 days

Chapter – 3 Provisions Relating to Bidding

Section 15 International Bidding

- International bidding shall be invited when:
  - ✓ required goods or works are not available competitively within Nepal,
  - ✓ no bids are received in national bidding,
  - ✓ procurement is funded under foreign assistance agreements, or
  - ✓ goods/works are complex and specialized in nature.
- International bid notices and bidding documents must be published in English.
- Such notices must also be posted on the website of public entity or PPMO.

Section 16 Clarification as to unclear matter on bidding or prequalification documents

- Bidders can request before deadline
- Public entity to clarify before deadline
- If any amendment is made to the bidding or prequalification documents, all participating bidders must be informed.
- Submission deadline may be extended if additional time is needed due to such amendments.

Section 17 Deadline for submission of bids or prequalification proposals

- Complying with the minimum notice period prescribed u/s 14 (30 days for national and 45 days for international)
- Allowing sufficient time for bidders to prepare and submit their bids or proposal

Section 18 Method of submission of bids

- Bids must be submitted:
  - ✓ in the prescribed form,
  - ✓ duly signed,
  - ✓ in a sealed envelope,
  - ✓ at the specified place and within the prescribed deadline.
- Late bids shall not be accepted and must be returned unopened.
- Electronic bid submission shall be made according to the electronic procurement system approved by PPMO.

Chapter – 3 Provisions Relating to Bidding

❖ Section 19 Withdrawal and modification of bid

- A bidder may withdraw or modify a submitted bid before the submission deadline by making a sealed application at least 24 hours before expiry of the deadline.
- Not Applicable to bids submitted through electronic communication systems.

❖ Section 20 Validity period of bids

- The validity period of bids shall be as specified in the bidding documents and begins from the bid submission deadline.
- If necessary, the public entity may extend the bid validity period after bid opening by stating reasons.
- Extension requires consent of the concerned bidder.
- A bidder agreeing to extension must also extend the bid security period.
- Bid security of bidders not consenting to extension shall be returned.

❖ Section 21 Bid Security

- A bidder must submit bid security along with the bid.
- Bid security may be forfeited if:
  - ✓ bidder withdraws or modifies the bid after the permitted period,
  - ✓ refuses correction of arithmetic errors,
  - ✓ fails to sign the procurement contract,
  - ✓ fails to provide performance security,
  - ✓ changes bid price or substantive terms during clarification,
  - ✓ engages in prohibited conduct under the Act.
- After procurement contract execution, bid security shall be returned to eligible bidders

Chapter – 3 Provisions Relating to Bidding

❖ Section 22 Opening of bids

- At time and place specified in the bidding documents on the same day immediately after the expiry of the deadline.

❖ Section 23 Examination of bids

- Opened bids are submitted to the evaluation committee for examination.
- Committee Examines:
  - ✓ bidder's legal eligibility,
  - ✓ completeness and proper signing of bid,
  - ✓ validity of bid security,
  - ✓ compliance with technical specifications and contract conditions,
  - ✓ required supporting documents and qualifications.
- ~~The public entity may seek clarification from bidders, but no change in bid price or substantial terms is allowed.~~ Public entities may request **rate analysis or clarifications from bidders within a set timeframe**, provided the response does not substantively change the original bid.
- In prequalified bidding, bidders must maintain the required qualifications; otherwise, the bid may be rejected.
- Arithmetic errors may be corrected:
  - ✓ unit rate prevails over total amount,
  - ✓ amount in words prevails over figures.
- Bidders must be informed of any corrections.

❖ Section 24 Bids not to be entertained

- Bid not sealed
- Bid submitted after the deadline
- Bid withdrawn pursuant to Section 19 (Withdrawal and modification)
- Bid not complying with Section 23 (Examination)
- Bid submitted through collusion under Section 26(6) (collusion with other bidders)
- Bid cancelled under Section 23(7) (qualification substantially lower than that at prequalification stage)

Chapter – 3 Provisions Relating to Bidding

❖ Section 25 Evaluation of bids

- All valid bids, except rejected bids under Section 24, shall be evaluated.
- Minor deviations may be considered during evaluation if they do not materially affect technical specifications or conditions.
- If minor deviations exceed 15% of the bid price, bid shall be treated as substantially non-responsive.
- In prequalified bidding, only bids from prequalified bidders shall be evaluated.
- Evaluation shall be based on the criteria and methodology specified in bidding documents.
- ~~Bidder with the lowest evaluated bid price shall undergo qualification verification.~~
- **One-Envelope Evaluation:** In a single-envelope system, the evaluation is done by comparing the evaluated bid prices; the contract is awarded to the lowest evaluated bidder who meets the qualification criteria.
- In **two-envelope systems**, only technically responsive bidders move to financial evaluation, with a step-by-step qualification check for the lowest price. (*Lowest but technical fail, will be rejected*)
- ~~If the bidder fails qualification verification, evaluation proceeds to the next lowest bidder.~~

Rate Analysis required if prices are significantly higher/ lower than the estimate.	**Capability Check** comparing rates against market norms and technical requirements.
Rejection of the bid if it's determined the work cannot be completed.	**Mandatory Documentation** of reasons for disqualification in the Evaluation Report.

- Evaluation committee shall prepare and submit an evaluation report to the public entity.
- For procurements using **separate technical and financial proposals**, final selection must be the lowest evaluated substantially responsive bid.

Chapter – 3 Provisions Relating to Bidding

- **Section 26 Rejection of bids or cancellation of procurement proceeding**
- no bid is substantially responsive,
- contract cannot be concluded with the selected bidder,
- lowest evaluated bid substantially exceeds the cost estimate,
- Public entities can negotiate a lump sum discount with the lowest bidder if their price exceeds the estimate, provided there is no reduction in quality or specs.
- procurement is no longer required.
- Procurement cannot be cancelled solely because only one or few bids are responsive.
- Notice with reasons must be given to all bidders.
- Bidders may request reasons for rejection or cancellation within 30 days.
- In re-bidding, necessary modifications may be made to bidding documents, specifications, cost estimates, or contract conditions.
- Bids submitted through mutual collusion among bidders shall be rejected.

Chapter – 3 Provisions Relating to Bidding

- **Section 27 Acceptance of bid and procurement contract**
- The public entity shall accept the lowest evaluated substantially responsive bid.
- In the event of a tie between two or more lowest bidders, final selection for contract award is decided by lottery (Gola-pratha)
- Notice of intention to accept the bid must be given within 7 days, and other bidders must also be informed.
- If no complaint is filed within 7 days, the selected bidder shall be asked to furnish performance security and sign the contract within 15 days.
- **Performance Guarantee:**
  - ✓ 5% of bid price if the bid price is up to 15% below the cost estimate.
  - ✓ 5% of bid price + 50% of the amount exceeding 15% below the cost estimate if the bid price is more than 15% below the estimate.
- If the selected bidder fails:
  - ✓ bid security shall be forfeited, and
  - ✓ the next lowest evaluated substantially responsive bidder shall be selected.
- Bid acceptance and contract process should generally be completed within the bid validity period.
- Rejected bidders may request reasons for rejection within 30 days.
- **Section 28 Two Stage Bidding**
- Two-stage bidding may be used when:
  - ✓ **technical specifications or contract terms cannot be clearly defined initially**, or
  - ✓ procurement is **complex** and requires discussion with bidders on technical and contractual matters.
- **First Stage**
  - ✓ Bidders submit only technical proposals without price quotation.
  - ✓ Public entity may discuss technical issues and contract conditions with bidders.
- After review and discussion, public entity may:
  - ✓ reject non-responsive proposals,
  - ✓ revise specifications, evaluation criteria, and contract conditions,
  - ✓ determine evaluation methods.
- **Second Stage**
  - ✓ Eligible bidders are invited to submit final bids with price quotations based on revised bidding documents.

Chapter-4 Provisions Relating to Consultancy Services

Chapter – 4 Provisions Relating to Consultancy Services

❖ **Section 29 Consultancy services may be procured**

- If any work cannot be performed by the human resource available in the concerned public entity, or
- If the service is required to be obtained from a consultant through the source of foreign assistance in accordance with the agreement with a donor party.

❖ **Section 30 Short-list to be prepared by soliciting expression of interest openly**

- Notice in national newspaper at least 15 days
- Also in website of ministry of such public entity or PPMO
- Consultancy notices for small-scale projects may use shorter timelines, and e-GP-based EOIs no longer require traditional media publication.
- International EOI shall be invited in case of
  - ✓ Consultancy service the cost of which exceeds the prescribed amount,
  - ✓ Service not available at competitive price in Nepal
  - ✓ No proposal received in response to national proposal
  - ✓ If the service is required to be obtained from a consultant through the source of foreign assistance in accordance with the agreement with a donor party.
- International EOI to be in English.
- Prepare a shortlist of 3-6 intending proponents
- If cost is less than specified amount, list of persons/ firms/ organizations who can provide such service can be prepared by public entity and proposals can be request from them.

Chapter – 4 Provisions Relating to Consultancy Services

❖ Section 31 Soliciting Proposals

- After preparing a shortlist, the public entity shall invite proposals from shortlisted proponents by giving at least 30 days.
- **Proposal documents** must include:
  - ✓ nature and terms of consultancy service,
  - ✓ instructions for proposal preparation,
  - ✓ separate submission of technical and financial proposals,
  - ✓ evaluation criteria and weightage,
  - ✓ contract conditions,
  - ✓ submission details and selection method,
  - ✓ provisions relating to conflict of interest, fraud, corruption, and review mechanism.
- **Technical Evaluation Criteria**
  - ✓ consultant's experience,
  - ✓ methodology,
  - ✓ qualification of key personnel,
  - ✓ knowledge and technology transfer,
  - ✓ involvement of Nepalese experts in international proposals.
- **Methods of Selection**
  - ✓ Quality and Cost Method,
  - ✓ Quality Method,
  - ✓ Fixed Budget Method,
  - ✓ Least Cost Method.
  - ✓ For highly complex or nationally significant consultancy services, selection may be based solely on quality.

Chapter – 4 Provisions Relating to Consultancy Services

❖ Section 32 Opening of Proposals

- After the submission deadline, outer envelopes of proposals shall be opened and technical and financial proposals separated.
- Technical proposals shall be opened first.
- Financial proposals shall remain sealed and safely kept until completion of technical evaluation.
- Financial proposals shall be opened only after evaluation of technical proposals.

❖ Section 33 Evaluation of Technical Proposals

- As per criteria set in documents related to proposal.

❖ Section 34 Opening of Financial Proposals

- Only for those who have qualified technically

❖ Section 35 Evaluation of Financial Proposals

- **Quality and Cost Method:** Technical and financial proposals are evaluated together, and the highest scoring proposal is selected.
- **Quality Method:** Proposal with the highest technical score is selected.
- **Fixed Budget Method:** Proposals exceeding the budget ceiling are rejected; highest technical score within budget is selected.
- **Least Cost Method:** Lowest-cost proposal among technically qualified proponents is selected.

Chapter – 4 Provisions Relating to Consultancy Services

❖ Section 36 Rejection of proposal and cancellation of procurement proceeding

- Proposals are not substantially responsive,
- Proposed cost substantially exceeds the estimate or budget, Public entities can now negotiate with the top consultant (Lowest proponent) to match the budget rather than cancelling the procurement.
- Consultancy service is no longer required,
- Proposal is submitted through mutual collusion. However, proposals of non-colluding proponents may still be considered.

❖ Section 37 Negotiations with the proponent

- The public entity may negotiate with the selected proponent regarding:
  - ✓ terms of reference,
  - ✓ scope of service,
  - ✓ progress reports, and
  - ✓ facilities to be provided by the public entity.
- Negotiation on professional remuneration is generally not allowed, except for reimbursable expenses.
- If agreement is not reached, negotiation may proceed with:
  - ✓ the next highest-ranked proponent, or
  - ✓ the next lowest-cost proponent in least-cost method cases.

Chapter – 4 Provisions Relating to Consultancy Services

❖ Section 38 Procurement contract to be concluded

- The proposal of the proponent who reaches agreement through negotiation shall be selected for acceptance.
- Notice of intention to accept the proposal must be given within 7 days to the selected and other shortlisted proponents.
- If no review application is filed within 7 days, the selected proponent shall be invited to sign the contract within 15 days.
- If the selected proponent fails to enter into the contract, negotiation may proceed with:
  - ✓ the next highest-ranked proponent, or
  - ✓ the next lowest-cost proponent in least-cost method cases.

❖ Section 39 Other provisions relating to consultancy services

- As may be prescribed

Chapter-5 Other Provisions Relating to Procurement

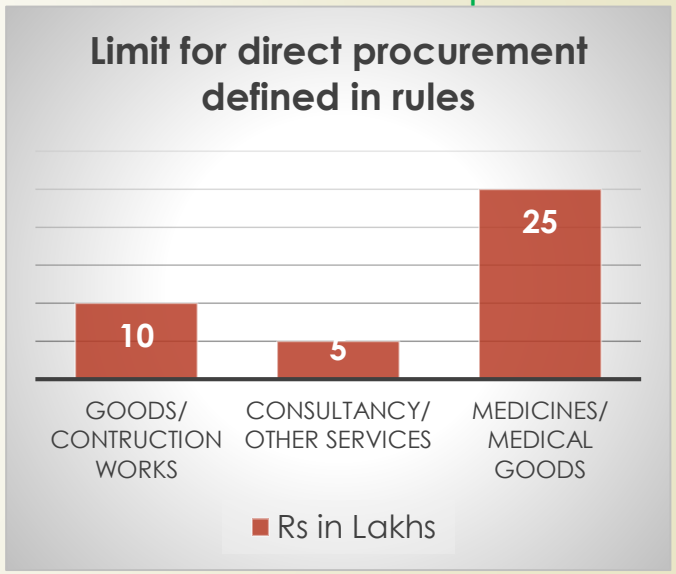
Chapter – 5 Other Provisions Relating to Procurement

❖ Section 40 Provisions relating to sealed quotations

- Procurement through sealed quotation may be made within the prescribed financial ceiling.
- Before inviting quotations, specifications, quantity, quality, terms, conditions, and delivery period must be clearly prepared.
- Notice inviting sealed quotations must be published in a national or local newspaper with at least ~~15 days'~~ 7 days notice. If sealed quotations are invited through the e-GP system, the notice must only be published via that system.
- Submitted sealed quotations cannot be withdrawn or amended.
- The lowest evaluated quotation meeting the prescribed conditions and within the cost estimate shall be accepted.

❖ Section 41 Provisions relating to direct procurement

- low-value procurement within prescribed limit,
- only one supplier/contractor/consultant is technically capable,
- sole supplier exists with exclusive rights,
- additional proprietary goods or services are required from the existing supplier,
- procurement between public entities,
- procurement from international inter-governmental organizations at fixed rates,
- special circumstances,
- unforeseen additional works/services linked to existing contracts,
- requirement of a uniquely qualified consultant.



- Certain direct procurements require recommendation of a committee and approval from the Government of Nepal or concerned authority.
- Procurement shall be made by inviting a written quotation/proposal from a single source and may involve negotiation.
- Direct procurement requires prior approval (where necessary) and a formal contract.

Chapter – 5 Other Provisions Relating to Procurement

❖ **Section 41A Government e-Marketplace**

➢ Public entities can now make direct purchases from the official Government E-Marketplace (GeM) for listed goods and services up to a specified amount.

❖ **Section 42 Special provision relating to ration procurement**

➢ In procuring ration, the public entity shall follow prescribed procedures regarding:

- ✓ cost estimate and approval,
- ✓ price escalation,
- ✓ bidder eligibility,
- ✓ bid security,
- ✓ submission of bids,
- ✓ other prescribed matters.

❖ **Section 42A Special provision for specific procurements**

➢ **Applicability:** These special rules apply to the procurement of **Fertilizers, Medicines, Information Technology (IT), and any other goods or services specifically designated** by Government via public notice.

➢ **Customized Framework:** For these sectors, Government can approve unique working procedures (Directives) covering:

- ➢ **Financials:** Cost estimation and price adjustment (escalation) rules.
- ➢ **Participation:** Eligibility criteria for bidders and bid security requirements.
- ➢ **Process:** Specific methods for bid submission and evaluation.
- ➢ **Contracts**: Terms and conditions to be included in the final purchase agreement.

Chapter – 5 Other Provisions Relating to Procurement

❖ **Section 43 Provisions relating to renting house and land and obtaining service on contract**

- Notwithstanding other provisions of the Act, a public entity may:
  - ✓ take house and land on rent, or
  - ✓ obtain prescribed services on contract
- by following the prescribed procedures.

❖ **Section 43A Provisions for land procurement**

- **Commercial Land Purchase:** If a public entity needs to purchase land for trade or commercial purposes, it must follow a specifically prescribed working procedure *(to be set by the government)*.
- **Public Interest Land Acquisition:** If a public entity is acquiring land for the general public interest (such as for infrastructure or public services), the procurement must be done according to the existing Land Acquisition laws (like the Land Acquisition Act).

❖ **Section 44 Execution of work through users' committee or beneficiary community**

- Works can be executed through a Users' Committee or Beneficiary Community within the prescribed cost estimate ceiling if:
  - ✓ **Low Technical Complexity:** Work does not require complex or high-level technical expertise.
  - ✓ **Efficiency & Sustainability:** Project nature promotes economy, maintains quality, and ensures long-term sustainability.
  - ✓ **Local Empowerment:** Work can be performed at the local level by utilizing local resources, tools, and skills.
  - ✓ **Post-Construction Ownership:** Work must be of a nature that the Users' Committee or Beneficiary Group can handle its ongoing repair, maintenance, and operation.
- **Support for Small Enterprises:** Projects executed through these committees can include the establishment and operation of training centers and small/micro-enterprises to generate local jobs.
- **Regulated Procedures:** All activities—from construction work to the setup of micro-enterprises—must follow the specific procedures prescribed by the government.

Chapter – 5 Other Provisions Relating to Procurement

- **Section 45 Work may be, or cause to be, executed by force account**
  - ~~Ordinary repair, maintenance, petty works, or sanitation works may be executed directly by force account or through a users' committee.~~
  - **Routine Maintenance:** Works that are difficult to estimate, such as ordinary repairs, regular maintenance, or sanitation/cleaning.
  - **Operational Continuity:** Tasks required to maintain existing services where work must be performed by staff intimately familiar with the system.
  - **Urgent Needs:** Situations where Special Circumstances (emergencies) arise, and the work must be completed immediately.
  - **Security & Sensitivity:** Works that are technically sensitive or critical from a risk and security standpoint.
  - **Other Prescribed Cases:** Any other specific types of work designated by the government.

- **Section 46 Work may be caused to be executed by non-governmental organizations**
  - A public entity may obtain services from an NGO for activities such as:
    - ✓ public awareness,
    - ✓ training,
    - ✓ orientation,
    - ✓ empowerment, and
    - ✓ Mainstreaming
  - if it ensures promptness, effectiveness, and economy.

Chapter-6 Provisions Relating to Review of Procurement Proceeding or Decision

Chapter – 6 Provisions Relating to Review of Procurement Proceeding or Decision

❖ **Section 47 Application may be made to the chief of public entity**

- A bidder or proponent may apply to the chief of the public entity for review against any error or unlawful decision in the procurement process.
- Review application can only be made before execution of the procurement contract.
- Application must be filed within:
  - ✓ the period specified in the Act, or
  - ✓ within 7 days from knowledge of the error or omission.
- The application must clearly state:
  - ✓ the error or omission,
  - ✓ resulting damage, and
  - ✓ violated legal provisions.
- Late applications shall not be entertained.
- If the complaint is found valid, chief of the public entity may suspend procurement proceeding and decide the matter within 5 days.
- For procurements below the prescribed amount, no further review can be made before the Review Committee.

❖ **Section 48 Review committee**

- Government of Nepal shall constitute a Public Procurement Review Committee consisting of:
  - ✓ a Chairperson (High Court judge/former judge or retired special class officer),
  - ✓ a retired first-class engineering officer,
  - ✓ an expert in public procurement.
- Serving employees of public entities cannot be appointed as procurement experts.
- Tenure of chairperson and members is 3 years and may be extended once.
- Terms, remuneration, and facilities are determined by the Government of Nepal.
- Members must submit prescribed details before assuming office.
- The Government may remove the chairperson or members for:
  - ✓ misconduct,
  - ✓ incompetence or inefficiency,
  - ✓ conviction involving moral turpitude.

Chapter – 6 Provisions Relating to Review of Procurement Proceeding or Decision

❖ **Section 49 Application may be made before the review committee**

- A bidder or proponent may apply to the Review Committee if:
  - ✓ chief of the public entity fails to decide the review application within the prescribed time u/s 47 (5 days), or
  - ✓ applicant is dissatisfied with the decision made by the public entity in procurements above the prescribed threshold.
  - ✓ Regarding procurement contracts made under Section 52.

❖ **Section 50 Method of review**

- Application to the Review Committee must be filed:
  - ✓ within 7 days in procurement review cases, or
  - ✓ within 30 days from procurement contract conclusion in contract-related cases.
- Review Committee shall seek information and comments from the concerned public entity within 3 days.
- Public entity must respond within 3 days.
- Review Committee shall decide the matter within 30 days after reviewing documents, evidence, and hearing parties if necessary.
- Review committee may:
  - ✓ dismiss the application,
  - ✓ stop unauthorized procurement actions,
  - ✓ annul unlawful decisions,
  - ✓ order re-evaluation of bids/proposals,
  - ✓ recommend compensation if contract has already been awarded improperly.
  - ✓ Applicants must furnish prescribed security.
  - ✓ Security shall be forfeited if the application is dismissed.
- **Mandatory Enforcement**: Once Review Committee issues a decision on a procurement review, concerned public entity must implement that decision immediately.
- **Recourse for Non-Compliance**: If public entity fails to implement the Committee's decision, original bidder or proponent has the right to file another application with the Review Committee reporting the non-compliance.
- **Action Against Officials**: If a decision is not implemented without a valid reason, Review Committee can recommend departmental (disciplinary) action against the responsible official to concerned higher authority.

Chapter – 6 Provisions Relating to Review of Procurement Proceeding or Decision

- **Section 51 Procurement proceeding to be withheld**
  - Upon receiving notice of a review application, public entity shall withhold the procurement proceeding until the Review Committee makes a decision.
  - Procurement need not be withheld if:
    - ✓ Urgent public interest requires continuation,
    - ✓ Review Committee fails to decide within the prescribed period,
    - ✓ Procurement contract has already been executed.
    - ✓ If procurement continues under urgent circumstances or delay by Review Committee, public entity must inform Review Committee.

Chapter-7 Provisions Relating to Procurement Contract

Chapter – 7 Provisions Relating to Procurement Contract

- **Section 52 Procurement contract and terms and conditions thereof**
- Except for low-value procurement, procurement shall be made through a procurement contract.
- Procurement contract may include:
  - ✓ names and details of parties,
  - ✓ scope of contract,
  - ✓ contract documents and priority order,
  - ✓ work schedule and completion time,
  - ✓ contract amount and payment terms,
  - ✓ acceptance conditions,
  - ✓ force majeure provisions,
  - ✓ price adjustment and variation provisions,
  - ✓ insurance and security requirements,
  - ✓ liquidated damages and bonus provisions,
  - ✓ termination conditions,
  - ✓ subcontracting provisions,
  - ✓ dispute settlement mechanism,
  - ✓ governing law,
  - ✓ other prescribed matters.

Chapter – 7 Provisions Relating to Procurement Contract

❖ Section 52A Provision relating to advance

- ~~A public entity may provide advance payment up to 20% of the procurement contract amount against an advance bank guarantee.~~
- **Maximum Ceiling:** A public entity can provide a mobilization advance of up to 20% of the contract amount.
- **Mandatory Security**: Unconditional Bank Guarantee for the equivalent amount.
- **Purpose of Advance:**
  - ✓ **Construction Works**: For site preparation, temporary camps, labor housing, and mobilizing machinery/ equipment.
  - ✓ **Goods & Consultancy:** Based on necessity and justification for initial project setup.
- **Pre-condition for Payment:** Before releasing the advance, public entity must request and approve a detailed **Work Schedule and key activity plan** from the contractor.
- Initially, not more than half of the approved advance may be paid; the remaining amount shall be released based on work progress.
- Advance payment shall generally be made through a separate bank account opened for the contracted work.
- The supplier, contractor, or service provider must commence work within 30 days of receiving the first advance.
- Updated details of utilization of advance amount must be submitted to the public entity.
- If the advance is misused, the advance bank guarantee shall be forfeited.

❖ Section 53 Amendment to procurement contract

- A procurement contract may be amended by written consent of both parties, provided that the basic nature or scope of work is not changed.
- However, amendment is not required for:
  - ✓ variation orders under Section 54, or
  - ✓ price adjustments under Section 55.

Chapter – 7 Provisions Relating to Procurement Contract

❖ Section 54 Variation order

- If unforeseen circumstances arise during contract implementation, variation orders may be issued as prescribed.
- **Authority for Variation Approval**
  - ✓ Up to 5% → Gazetted ~~Second~~ Third Class or Equivalent Chief
  - ✓ Up to 10% → Gazetted ~~First~~ Second Class or Equivalent Chief
  - ~~✓ Up to~~ Above 15% → Head of Department
  - ~~✓ 15%–25% → Ministry Secretary or equivalent authority~~
  - ~~✓ Above 25% → Government of Nepal, Council of Ministers / Supreme Executive Body~~
- Variations can be approved based on ~~above prescribed limits require~~ recommendation from an expert group.
- ~~No authority below the cost-estimate approving authority may issue a variation order.~~
- ~~Head of Department may approve variations above 15% for procurements up to 60 Lakhs.~~

❖ Section 55 Price adjustment in procurement contract

- Price adjustment may be made in procurement contracts exceeding 12 months, unless otherwise provided in the contract.
- In national bidding for public construction works, price adjustment may be allowed if construction material prices increase or decrease by more than 10%, after deducting the initial 10% *(means adjustment is only for beyond +/- 10%)*.
- Price adjustment is **not allowed** if:
  - ✓ delay is caused by the contractor/supplier, or
  - ✓ the contract is based on lump sum or fixed budget.

Chapter – 7 Provisions Relating to Procurement Contract

❖ **Section 56 Provisions relating to extension of the term of contract**

- Extension of procurement contract period shall generally be governed by the procurement contract itself.
- However, the competent authority may extend the contract period upon application by the contractor/supplier if delay occurs due to:
  - ✓ force majeure,
  - ✓ failure of the public entity to provide required support, or
  - ✓ other reasonable grounds.

❖ **Section 57 Payment of bills or invoices**

- As prescribed

❖ **Section 58 Mechanism for settlement of disputes**

- Any dispute arising during implementation of a procurement contract shall first be settled through mutual consent.
- If the dispute cannot be resolved mutually, it shall be settled through arbitration as per prevailing law.

❖ **Section 58A Prohibition on Stopping Construction Work**

- **Non-Interruption Clause:** Notwithstanding anything contained in other prevailing laws, construction work on **public infrastructure** must not be stopped or halted due to disputes arising between the contracting parties.
- **Legal Supremacy:** This provision takes precedence over other laws to ensure that the physical progress of national priority or public works continues even while legal or financial disagreements are being resolved through the proper channels

Chapter – 7 Provisions Relating to Procurement Contract

❖ Section 59 Termination of procurement contract and remedies

- **Grounds for Termination:** A procurement contract may be terminated if:
  - ✓ the contractor/supplier fails to perform the contract,
  - ✓ misconduct or misuse of advance occurs,
  - ✓ termination is required in public interest (termination by convenience),contractor terminates under contractual grounds,
  - ✓ force majeure occurs.
- **Financial Settlement after Termination:** The contract shall provide for:
  - ✓ payment for satisfactorily completed work,
  - ✓ liability of defaulting contractor for additional costs,
  - ✓ compensation for losses caused by unjustified termination.
- **Public Interest Termination:** If the public entity terminates the contract for public interest, it shall pay for:
  - ✓ completed work,
  - ✓ reimbursable expenses,
  - ✓ specially manufactured goods,
  - ✓ termination-related expenses.
- **Contractor Default:** If the contractor:
  - ✓ fails to start work,
  - ✓ abandons work,
  - ✓ or fails to progress as per contract,

  public entity may terminate the contract at any time.

Chapter – 7 Provisions Relating to Procurement Contract

- **Section 59 Termination of procurement contract and remedies**
  - **Consequences of Default**
    - ✓ Forfeiture of Security: If a contract is terminated due to the contractor's failure, entire Performance Guarantee shall be forfeited.
    - ✓ **Cost Recovery (The "Difference" Rule)**: The public entity will calculate the cost to complete the remaining work based on the updated cost estimate. If the cost to complete the work through a new party is higher than the original contractor's remaining contract value, the extra cost (difference) shall be treated as a government debt. This additional amount will be recovered from the original defaulting contractor/consultant.
    - ✓ **No Bar on Re-tendering:** In the event of such a termination, the public entity is free to invite new bids immediately to complete the remaining work without any legal hindrance.
    - ✓ Remaining work may be offered to previously selected bidders within 15 days.
    - ✓ If unsuccessful, fresh procurement proceedings shall be initiated.

- **Section 60 Public notice of procurement contract**

Chapter-8 Provisions Relating to Conduct

Chapter – 8 Provisions Relating to Conduct

❖ Section 61 Conduct of officials who are involved in public procurement proceeding

- Procurement officials involved in procurement activities shall:
  - ✓ act impartially and ensure fair competition,
  - ✓ operate procurement in public interest,
  - ✓ avoid conflict of interest,
  - ✓ maintain confidentiality of bidder information,
  - ✓ avoid working with related private entities for 2 years after retirement,
  - ✓ disclose and avoid involvement where close relatives participate,
  - ✓ comply with prevailing laws,
  - ✓ avoid corruption and fraudulent practices,
  - ✓ avoid collusion or anti-competitive practices.

Close relative

- Husband/ wife,
- Father & mother,
- son, daughter living in a joint family,
- mother-in-law/ father-in law,
- elder / younger brother,
- elder / younger sister,
- son-in-law,
- sister-in-law or brother-in-law

❖ Section 61A Departmental action to be taken

- If a monitoring body or a superior authority finds that an official has committed the following, they must recommend departmental (disciplinary) action:
  - ✓ **Failure to start on time** to ensure completion as scheduled.
  - ✓ **Indecisiveness** to make necessary decisions
  - ✓ **Enforce Restrictions**: Fail to prevent ineligible parties from participating or fail to recover/forfeit amounts as required.
  - ✓ **Administrative Delays:** Fail to provide site access, designs, or drawings on time; or delay decisions on variation orders, time extensions, and bill payments.
  - ✓ **Reporting Negligence:** Fail to recommend a contractor for blacklisting when legally required.
  - ✓ **Ethical Violations:** Fail to follow the Code of Conduct (Section 61).F
  - ✓ **lawed Evaluation:** Conduct bid evaluations that are biased, erroneous, or contrary to specified criteria.
  - ✓ **General Non-compliance:** Fail to fulfill any other responsibilities mentioned in the Act or Regulations.
- The competent authority shall take departmental action according to prevailing service laws and inform the recommending body.

Chapter – 8 Provisions Relating to Conduct

- **Section 61B Incentive Facilities for employees**
- **Reward for Excellence:** Government of Nepal or the supreme executive body of a public entity may provide prescribed **incentive** facilities to employees involved in procurement.
- **Eligibility Criteria:** To qualify for these incentives, the procurement work must be:
  - ✓ Completed within the originally scheduled timeframe.
  - ✓ Executed with high-quality standards.
  - ✓ Result in excellent project outcomes.

- **Section 62 Conduct of bidders or proponents**
- Must follow the Act, Rules, and procurement contract.
- No bribery or improper influence.
- No false or misleading information.
- No corruption or fraud.
- No interference with competing bidders.
- No threats, coercion, or intimidation.
- No bid collusion, cartel, or artificial price fixing.
- No improper contact with public entity during evaluation.
- Consultants preparing specs/documents or supervising procurement cannot bid in same procurement. *Exception: Turnkey/design-build contracts*

Chapter – 8 Provisions Relating to Conduct

- **Section 62A Awards and Certificates for Contractors**
- **Recognition of Excellence:** The Government of Nepal or the supreme executive body of a public entity may provide **prescribed incentives and letters of appreciation** to construction entrepreneurs (contractors).
- **Performance Requirements:** To be eligible for this recognition, the contractor must:
  - ✓ Complete the construction work **within the original contract timeframe**.
  - ✓ Maintain **high-quality standards** throughout the project execution.

- **Section 63 Blacklisting and release from blacklisting**
- PPMO may blacklist for 1–3 years depending on seriousness.
- **Grounds for blacklisting:**
  - ✓ Violation of Section 62 conduct rules.
  - ✓ Failure to sign contract after selection.
  - ✓ Poor/non-performance or substandard work.
  - ✓ Criminal conviction affecting eligibility.
  - ✓ False qualification or misrepresentation.
  - ✓ Other prescribed grounds.
- Blacklisted persons/firms cannot participate in public procurement during blacklist period.
- Persons blacklisted by banks/financial institutions for loan default are also ineligible during blacklist period.
- Bids/proposals from ineligible persons/firms are rejected.
- Removal from blacklist as per PPMO criteria.

Chapter-9 Provisions Relating to Monitoring of Procurement Activities

Chapter – 9 Provisions Relating to Monitoring of Procurement Activities

- **Section 64 PPMO**
  - PPMO under Office of PM and Council of Ministers
- **Section 65 Functions, Duties and Powers of PPMO**
  - Recommends procurement policy/legal reforms to Government
  - ~~Issues directives, procedures, and technical guidelines.~~ Issue technical guidelines for specialized contracts, including EPC, turnkey projects, design and build models, unit rate/ structural lump sum contracts and Operation & management of built structures.
  - ~~Prepares~~ Issues standard bidding, contract, and RFP documents.
  - Collects procurement statistics and monitors/audits procurement proceedings.
  - Development and operation of systems related to the Government E-Marketplace
  - Conducts post-procurement audits.
  - Maintains records of contractors, suppliers, consultants, and service providers.
  - Issues e-procurement guidelines.
  - Provides opinions/advice on procurement matters.
  - Operates procurement website and publishes procurement bulletins.
  - Conducts procurement training programs.
  - Manages blacklist release criteria and release process.
  - Reviews procurement system effectiveness and gathers feedback.
  - Coordinates domestic/foreign assistance for procurement reform.
  - ~~Authenticates procurement experts.~~ Certification of procurement experts and organizations that provide procurement-related training.
  - Submits annual procurement report to Government.
  - Functions as secretariat of Review Committee.
  - Limitations
    - ✓ Cannot directly participate in procurement of other public entities.
    - ✓ Cannot resolve procurement disputes.
  - Corrective Power
    - ✓ May direct public entities to correct procurement errors and take action against responsible officials.

Chapter-10 Miscellaneous

Chapter – 10 Miscellaneous

- **Section 66 Provisions relating to procurement to be made in special circumstance**
  - Immediate procurement allowed in special/emergency situations to prevent further loss or damage.
  - Chief of public entity must inform one-level higher authority with details and justification of emergency procurement.

- **Section 66A Establishment of Government Procurement Service Office**
  - A new Government Procurement Service Office under the OPMCM will provide centralized support to public entities for supplier selection and goods procurement.

- **Section 67 Procurement process under this Act not to be followed**
  - Procurement procedures under the Act need not be followed for:
    - ✓ National security, strategic, or defense procurement approved by Government.
    - ✓ Procurement under donor agreements using donor procurement guidelines.
    - ✓ Business-related procurement by public entities competing with private sector.
    - ✓ Procurement abroad for fairs, exhibitions, trade events, or cultural programs.
    - ✓ Procurement by Nepalese embassies/missions abroad.
    - ✓ ~~Aviation-related procurement by licensed airline service entities.~~ Purchasing or leasing aircraft, aviation-related equipment, or services.
    - ✓ Procurement of necessary construction materials, leasing of machinery & equipment required by infrastructure companies.
  - **Additional Provisions**
    - ✓ Government must state reasons and set separate procedures for security/defense procurement.
    - ✓ Public entities must prepare and enforce special procedures (with PPMO consent) for cases under clauses (c)–(f).
    - ✓ Aviation procurement procedures must include business plan, life cycle, and net present value analysis.

- **Section 67A Not to hinder procurement proceeding**
  - Competent authority may obtain procurement documents for examination/investigation.
  - Such examination should not unnecessarily obstruct or delay the procurement process.

Chapter – 10 Miscellaneous

- **Section 68 Mode of communication**
  - Procurement documents, notices, decisions, and information must generally be communicated in writing.
  - If notice cannot be served directly, a public notice may be published in a national daily newspaper.
  - Publication in newspaper is deemed valid service of notice.

- **Section 69 Procurement transaction may be carried out through means of electronic communication**

- **Section 70 Legal documents to be put on website**

- **Section 71 Evaluation committee to be formed**
  - Form an evaluation committee for examination and evaluation of
    - ✓ pre-qualification proposals,
    - ✓ bids,
    - ✓ expression of interest or proposals of consultancy services or
    - ✓ sealed quotations.

- **Section 72 Records of Procurement proceeding**
- **Section 73 Delegation of Power**
- **Section 74 Power to frame rules**
  - **Provincial and Local governments must designate their own specific officials/bodies to perform the procurement duties and decisions outlined in this Act.**
- **Section 74A Power to make technical guidelines, procedures and directives**
- **Section 74B Power to remove difficulties**
- **Section 75 Repeal and amendment**
- **Section 76 Saving**

THANK YOU